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“Of course, today, LCD TVs are being manufactured here. But they are doing only the assembly. Nobody is putting in money in the LCD—Raj Kapur, chief operating officer, JCT Electronics

impact of only these three costs itself is very high.

This is true for everything we manufacture. Then why are we talking about components only? “In components, there is a high value addition. If I am only assembling a TV, my total value addition is 10-20 per cent, and hence the cost of these three items might be 5 per cent in my total turnover. Compared to 5 per cent, it might be 2 per cent for a Chinese competitor. So the cost difference is only 2-3 per cent. But in components, the difference between these three costs for me and a Chinese supplier is about 9 per cent. So if I am making a profit of 8-9 per cent, my Chinese counterpart is making a profit of 16-18 per cent. So already there is a huge price gap only on account of these three factors,” explains Sharma.

“Then, of course, is the fact that components are not made in vacuum. You make them in an ecosystem. If I make a capacitor, the film is made somewhere else, metallisation is done somewhere else, cans are made by a third party, and so on. If they all are making it in Noida only, it becomes cheaper. But today I am an island. Nobody makes anything here. I have to buy everything from China, Korea or Japan, bring it here, make it here and then try to sell it,” he adds.

One additional thing that has happened is that from 2005 onwards, under the WTO ITA, there is no duty on component imports. Then why should one manufacture? One can become a trader instead. This has happened for most of the industry. Most manufacturers have become traders.

Main constraints

Raj Kapur, chief operating officer, JCT Electronics (a colour picture tubes producer), exclaims, “Components are neither the visible consumer durables, nor the high-profile electronic software. So

it is like a person’s face is known, but it’s very difficult to get to the heart. Component is the heart but everybody sees the face. This is one aspect. We never got the importance we deserve.”

Of course, “Long ago (probably in the seventies), the government took some initiative to set up manufacturing in the public sector for basic components such as diodes, resistors and transistors when the technology had already advanced and ICs had just started to emerge in the west. However, this was very shortlived since the industry could not achieve high accuracies and tolerances required for many of the electronic equipment and hence even these components were being imported for certain high-end applications,” shares V. Srinivasan, President-Strategy & Diversification, Hical Technologies.

“The country could not cope up with the very fast pace of development of component industries abroad who had developed components much smaller in size with very high accuracies and tolerances. Factories set up in Chandigarh subsequently also met the same fate. The industry certainly could not afford the huge funding of the order of a billion rupees or more required for development and manufacture of newer, smaller and faster components. Added to this, the consumption of the local market did not justify the huge investments. High-end technology needed to establish this industry was also lacking within the country,” adds Srinivasan.

In the private sector, picture tubes is one of the biggest investments which was made in this country. And then glass manufacturing also started. So the reason why colour TVs are so affordable today is that the components are indigenised. But the kind of support which has to be given to the components sector even at this level never